

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

BED BATH & BEYOND INC., *Complainant*

v.

ORIENT OVERSEAS CONTAINER LINE LIMITED AND
OOCL (EUROPE) LIMITED, *Respondents*.

DOCKET NO. 23-02

Served: August 23, 2024

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge*.

ORDER ON AMENDED COMPLAINT, CONFIDENTIALITY, AND 4TH REVISED SCHEDULING ORDER

On June 29, 2024, the parties filed a joint motion seeking to extend the deadlines in this proceeding (“Deadlines Motion”), in part due to a motion to amend the complaint that Complainant intended to file. On July 16, 2024, Complainant filed its motion to file an amended complaint (“Amended Complaint Motion”), a motion to file the amended complaint under seal (“Seal Motion”), a motion challenging confidentiality of certain documents (“Confidential Designations Motion”), and a motion to file an exhibit to the confidential designations motion under seal.

Responses to the motions have been filed and the parties have reiterated their request for extension of the deadlines. Complainant’s July 16, 2024 motions will be addressed prior to addressing the joint requests to extend deadlines.

I. Motion to File an Amended Complaint

Complainant asserts that the proposed amended complaint does not add any additional respondents and alleges the same violations, “except for an additional claim alleging retaliatory conduct by Respondents in violation of the former 46 U.S. Code Section 41104(a)(3), now codified at 46 U.S. Code Section 41102(d).” Amended Complaint Motion at 3. The amended complaint also “streamlines certain allegations” and “alleges additional material facts” identified during discovery. Amended Complaint Motion at 4. Complainant asserts that allowing the amended complaint “would be *more* efficient and cost-effective than filing a new, separate Section 41102(d) complaint against Respondents.” Amended Complaint Motion at 5 (emphasis in original).

Respondents contend that:

[P]ermission to amend should not be granted because (i) any such amendment would be futile for failure to state a claim, (ii) such amendment would broaden

the proceeding, requiring an entirely new restart, including a new answer and new discovery, of a matter that has already been before the Presiding Officer for 14 months, and (iii) unduly prejudice Respondents in the process by allowing new allegations of misconduct at the tail end of the discovery period.

Respondents' Reply to Complainant's Motion for Leave to Amend Complaint ("Amended Complaint Opposition") at 2.

Commission Rule 66(a) provides in pertinent part that amendments "will be permitted or rejected, either in the discretion of the Commission or presiding officer. No amendment will be allowed that would broaden the issues, without opportunity to reply to such amended pleading and to prepare for the broadened issues." 46 C.F.R. § 502.66(a).

Commission Rules do not provide criteria for evaluating whether to grant or deny a motion to amend a complaint. However, Commission Rule 12 provides that "for situations which are not covered by a specific Commission rule, the Federal Rules of Civil Procedure will be followed to the extent that they are consistent with sound administrative practice." 46 C.F.R. § 502.12. Under Federal Rule 15(a)(1)(B), "a party may amend its pleading once as a matter of course" within 21 days after service of a responsive pleading. F.R.C.P. 15(a)(1)(B). After that period, an amended pleading is permitted with opposing party's written consent or leave of court, which should be freely given when justice so requires. F.R.C.P. 15(a)(2). "Denial of leave to amend therefore constitutes an abuse of discretion unless the court gives sufficient reason, such as futility of amendment, undue delay, bad faith, dilatory motive, undue prejudice, or repeated failure to cure deficiencies by previous amendments." *Bancoult v. McNamara*, 214 F.R.D. 5, 8 (D.D.C. 2003) (citations omitted); *see also Foman v. Davis*, 371 U.S. 178, 182 (1962).

Complainant's new claim of a violation of the retaliation prohibitions focuses on Respondents' reactions to an October 18, 2021, letter "putting Respondents on notice regarding certain practices of Respondents that were inconsistent with the Commission's guidance on reasonable demurrage and detention practices." Amended Complaint Motion at 3.

Respondents argue that this amendment would be futile because it would not survive a motion to dismiss because Complainant did not assert that "BBBY did, or even threatened to, file a complaint or otherwise bring actions by OOCL to the attention of the FMC." Amended Complaint Opposition at 5.

When the statements were made, section 41104(a)(3) stated that a common carrier may not "retaliate against a shipper by refusing, or threatening to refuse, cargo space accommodations when available, or resort to other unfair or unjustly discriminatory methods because the shipper has patronized another carrier, or has filed a complaint, or for any other reason." 46 U.S.C. § 41104(a)(3) (2021). Respondents' argument focuses on the "filed a complaint" language, asserting that at that point in time, Complainant had not filed a complaint. Moreover, Respondents contend there was no threat to file a complaint with the FMC, unlike in *OJ Commerce, LLC v. Hamburg Sud*, Docket 21-11, 6 FMC 2d 165, 189-91 (ALJ 2023).

The proposed amended complaint quotes from Complainant's October 18, 2021, letter and Respondents' internal emails responding to the letter, all of which the parties assert are

confidential. Amended Complaint, ¶¶ 139-141. Respondents are correct that the amended complaint does not allege that a complaint had been filed or an explicit threat made to file a complaint with the FMC. Thus, the “any other reason” language would be the only portion of section 41104(a)(3) that could apply.

It is clear from these emails that at least some of Respondents’ employees understood the October 18, 2021, letter to be threatening to report Respondents to the FMC. Respondents are correct that the parties have not identified any cases regarding whether a statement that implicitly, but not explicitly, threatens to report an entity to the FMC has violated the “for any other reason” portion of the prohibition on retaliation. Rather than requiring that the allegation be dismissed, the lack of precedent on this issue weighs toward resolving the issue after the facts have been fully developed. Determination of the issue will depend on the context including who made the statements, issues best resolved after briefing. The amended complaint raises a plausible claim of retaliation and Respondents have not established that the claim would be futile nor that a motion to dismiss would be successful.

Respondents’ other arguments focus on the delay, prejudice, and motions practice that would be caused by permitting the amended complaint, including a reference to extending discovery by six to nine months (more time that Commission Rules allow for discovery in a proceeding). Amended Complaint Opposition at 7; *see* 46 C.F.R. § 502.141(g). Discovery in this case has not been completed. No briefs have been filed and no decisions on the merits have been issued. There is no evidence of undue delay, as the relevant documents were not in Complainant’s possession until provided by Respondents in discovery. Therefore, Complainant could not have raised the new allegation when it originally filed the complaint. There is also no evidence that any delay unduly prejudices Respondents. It is clearly more efficient to resolve the retaliation claim at the same time as the other allegations which involve the same service contract during the same time period with the same witnesses.

Moreover, on July 18, 2024, an order was issued granting Respondents’ motion to extend time to reply to Complainant’s confidential treatment motion. That order stated:

In an abundance of caution, depositions currently being conducted should include any questions related to the amended complaint so that the deponents would not need to be deposed again if the amended complaint is granted. In addition, any motions related to the amended complaint will occur concurrently with the discovery schedule and will not be a basis to alter the discovery schedule.

Order Granting Motion to Extend Time to Reply at 1.

Respondents have known since June that the amended complaint might be filed. Any questions regarding the retaliation claim should have been addressed during the discovery that has already occurred or is already scheduled. And, no discovery may be cancelled or postponed on the basis of any motions related to the amended complaint. Such delays are not an appropriate basis to deny the motion to amend the complaint.

Respondents should file a response to the amended complaint by Sept. 6, 2024. Any motions must be filed concurrently with the discovery schedule. Any requests for extensions or additional discovery must indicate why the discovery could not have been obtained previously.

II. Motions to File Under Seal and Challenging Confidentiality Designations

On July 8, 2024, in addition to the amended complaint motion, Complainant filed (1) a motion to file the proposed amended complaint under seal, (2) a motion challenging the confidentiality designations of certain documents, and (3) a motion to file exhibit A of the confidential designations motion, the designation chart, under seal. On July 23, 2024, Respondents filed an opposition to the confidential designations motion (“Confidential Designations Opposition”) but did not oppose the two motions to seal.

In the confidential designations motion, Complainant seeks “an order that removes *in toto* from each of the documents reflected in the attached chart (the ‘Subject Documents’), filed herewith as Exhibit A, improperly restrictive confidentiality designations by Respondents.” Confidential Designations Motion at 1. Complainant contends that the subject documents are highly relevant; Respondents “cannot establish that the Subject Documents are commercially sensitive or that the public disclosure of the Subject Documents will put Respondents at a competitive disadvantage;” there is a presumption of public access to judicial documents; and the documents do not meet the protective order’s standards. *Id.* at 6-9.

Respondents allege that the confidential designations motion is premature; prejudicial; brought for an improper motive; and because Complainant is no longer in business, it cannot show any business reasons why the designations should be removed. Confidential Designations Opposition at 1-2. Respondents contend that the subject documents contain “highly sensitive commercial information;” that Complainant “wants to air the material publicly to embarrass Respondent;” and that the documents were properly designated as confidential. *Id.* at 2-9.

Respondents point to *The Government of the Territory of Guam v. Sea-Land Service, Inc. and American President Lines, Ltd.*, 26 S.R.R. 1550, 1551 (ALJ Aug. 31, 1994) (Ruling Concerning Whether Confidential Business Information and Data Should be Declassified), *see also* 27 S.R.R. 517 (ALJ April 10, 1996) (Renewed Motion for Declassification of Information Classified as Confidential Under the Protective Order). In these cases, the Administrative Law Judge denied motions to declassify the record prior to the initial decision being issued, where the record included respondents’ financial data, Statements of Financial Operating Data filed annually by ocean carriers, and supporting work papers and data analysis.

Here, the parties agreed to a protective order that was authorized by the undersigned and that stated: “A party (or producing non-party) may designate as ‘Confidential’ any information that is commercially sensitive and is *not publicly known*, including information provided by third parties to the producing party or non-party *with the expectation that the information remain confidential.*” Protective Order at 3 (emphasis added). The Protective Order also permitted information to be designated as attorney’s eyes only, defined as: “information or material whose disclosure to anyone other than outside counsel has a substantial probability of jeopardizing the producing party or non-party’s competitive business interests or the competitive or privacy

interests of the producing party or non-party's suppliers, service providers, customers or clients, or of an individual party in this proceeding." Protective Order at 4.

The documents cited in the amended complaint at issue appear to be email communications internal to Respondents as well as emails sent to and received from Complainant. The original documents are not provided so it is not possible to determine whether the communications contained information that was not publicly known or were sent with the expectation that the information remain confidential. That determination can be made at a later date. The allegations in the amended complaint are clear, even with some of the specific examples and quotations kept confidential and excluded from the public version. Therefore, the confidential designations will not be removed at this point.

The parties are cautioned, however, that overbroad confidentiality designations will not be permitted when the briefs are filed. Specifically, information that was not confidential or sent with the expectation that the information remain confidential are not entitled to confidential treatment under the parties' Protective Order and will not be afforded confidential treatment under Commission rules. If the communication includes confidential rates, the actual rates may be entitled to confidential treatment. However, internal communications that merely describe Respondents' opinions of the October letter or reactions to it are unlikely to be entitled to confidential treatment. In addition, it is hard to see how communication to or from Complainant would be entitled to confidential treatment. Those issues can be resolved, however, at or prior to briefing. Therefore, the motion for confidential treatment is denied without prejudice.

The two motions to seal were not opposed. Given the finding above, the motions are appropriate. For the purposes of these filings only, the redacted public version of the Amended Complaint is accepted. In addition, the redacted public copy of Exhibit A to Complainant's Motion Challenging Respondents' Confidentiality Designation of Certain Documents is accepted. The Office of the Secretary is requested to maintain the confidential versions of these two filings as confidential documents.

III. Fourth Revised Scheduling Order

On June 28, 2024, the parties filed a joint status report and motion to extend expert witness deadlines stating that they are conducting over thirty depositions and that Complainant would be filing a motion for permission to file an amended complaint. The parties have since provided updates regarding the status of discovery in joint status reports filed on July 22, 2024, and August 2, 2024, and on August 8, 2024 the parties filed a joint motion for expedited relief concerning expert discovery and impending case deadlines ("Expedited Deadlines Motion").

The parties state in both joint motions that they have discussed the motions with each other, and each agree to the relief requested in the motions. The parties' joint motions and joint status reports provide sufficient detail and good cause for granting their joint request for a revised scheduling order extending their time to complete fact discovery, conduct expert discovery, and complete briefing. Therefore, it is reasonable and accepted.

The parties are hereby **ORDERED** to follow this revised schedule:

Sept. 6, 2024 Respondents file response to Amended Complaint.

Sept. 17, 2024 Report of Complainant's experts, if any, to be provided to Respondents.

Sept. 24, 2024 Respondents to identify rebuttal expert witnesses, if any.

Sept. 30, 2024 Last date to serve supplemental discovery requests.

Oct. 14, 2024 Respondents to provide Complainant with rebuttal experts' reports, if any.

Oct. 21, 2024 Depositions of expert witnesses may begin.

Nov. 10, 2024 Close of discovery.

Dec. 10, 2024 Complainant's Opening Brief, Proposed Findings of Fact, and Appendix.

Jan. 10, 2025 Respondents' Opposition Brief, Proposed Findings of Fact, Appendix, and Responses to Complainant's Proposed Findings of Fact.

Jan. 27, 2025 Complainant's Reply to Respondents' Brief and Proposed Findings of Fact.

Given the Commission's initial decision deadline, the parties should expect to meet this schedule without any further extensions. Any issues remaining may be addressed in the parties' briefs. The parties should review the initial order and the briefing requirements in the June 8, 2023, scheduling order prior to filing their briefs.

IV. ORDER

Upon consideration of the record herein, the arguments of the parties, and the conclusions and findings set forth above, it is hereby

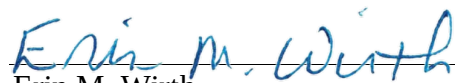
ORDERED that Complainant's motion to file an amended complaint be **GRANTED**. It is

FURTHER ORDERED that Complainant's motion to file the amended complaint under seal be **GRANTED**. It is

FURTHER ORDERED that Complainant's motion challenging confidentiality of certain documents be **DENIED WITHOUT PREJUDICE**. It is

FURTHER ORDERED that Complainant's motion to file under seal exhibit A to complainant's motion challenging the confidentiality of certain documents be **GRANTED**. It is

FURTHER ORDERED that the joint motion and expedited motion seeking to extend the deadlines in this proceeding be **GRANTED**. The parties must follow the fourth revised schedule above.


Erin M. Wirth
Chief Administrative Law Judge